

This tangible advantage allowed the US currency to reflect the strength of its nation and since then has continued to (through controversial means) remain the most powerful currency in the world as well as the most valuable.

Who controls currency?

As we've discussed, currency is a representation of national wealth, power and value. It derives its value from trust and trade utility. But in order to administer its flow across borders and within nations a system is necessary. This system is part of every country's setup and is known as the central bank. And the institution that coordinates and administers the planning of these



The US dollar has been the fastest currency to achieve global acceptance in the history of modern economics.

many central banks is the Bank for International Settlements (BIS) in Basel, Switzerland. However, the BIS has no direct control over the currencies of various

nations and is involved only in monetary policy guidelines that its 58 member nations have to adhere.

Although the BIS is an important part of the international network of trading economies the actual control over currency comes from the specific central banks and national monetary policies of economies. Currency or “minted” money i.e. notes and coins, is manufactured by governments of nations through monetary policy enforcement that allows them to introduce increase the “money supply” in their economies. This process is highly sensitive as the rampant creation of currency can destabilize economies and is done with great care and timing. It is a necessary part of managing a nation's monetary policy and is therefore very carefully administered.

Changes of lower impact such as the introduction of new coins or notes and the erasure of older denominations of currency are occasionally necessary to keep up with market forces such as inflation. Other ways of controlling currency in a national economy such as devaluation and redenomination are also strictly in the realm of governmental economic policy. Any changes to a national currency are a complex and fairly transparent process